Microeconomics IV - 2nd Part

Alessandro Di Nola
Universitat de Barcelona

2nd term 2022/2023

Contact Information

- Section of Economic Theory, Department of Economics
- Office: 412 (Diagonal 696 Building)
- Email: dinola@ub.edu
- Office hours: by appointment.

Course Description

In the first part of the course we have analyzed perfectly competitive markets where the First Welfare Theorem holds: all competitive equilibrium allocations are Pareto efficient. In the second part we are going to relax the assumptions behind it (competitive markets, no externalities and perfect information). We will focus on situations with consumption/production externalities, public goods and asymmetric information. Before doing that, we will present the standard theory of decision making under uncertainty.

Topics and Organization

- Topic I: Decision Making Under Uncertainty
  - Preferences over lotteries and von-Neumann-Morgenstern expected utility representation.
  - Application: Insurance.
  - Application: Portfolio choice.
  - *References*: Varian (1993), Chapter 11. Mas-Colell et al. (1995), Chapter 6.
- Part II: Imperfect Information
  - Adverse selection.
  - Signaling.

  - Moral hazard.
  - Application: Spence's (1974) model.
  - *References*: Nicholson and Snyder (2012), Chapter 18. Varian (1993), Chapter 25. Mas-Colell et al. (1995), Chapters 13 and 14.

- Part III (if time permits):
  - Externalities.
  - Public goods.
  - *References*: Varian (1993), Chapter 23; Nicholson and Snyder (2012), Chapter 19.

Course evaluation

For students doing the continuous evaluation, the grade of Part II is computed as follows:

- Participation (class attendance, class interventions): 10%.
- Problem sets: 20%.
- Group exams: 20%.
- Final exam: 50%

For students doing the final evaluation, the grade is based entirely on the final exam.

References

- Varian, H. (1993). Microeconomic Analysis.
- Mas-Colell, A., Whinston, M.D., and J.R. Green (1995). Microeconomic Theory.
- Nicholson W., and C. Snyder (2012). Microeconomic Theory: Basic Principles and Extensions (11th Edition).